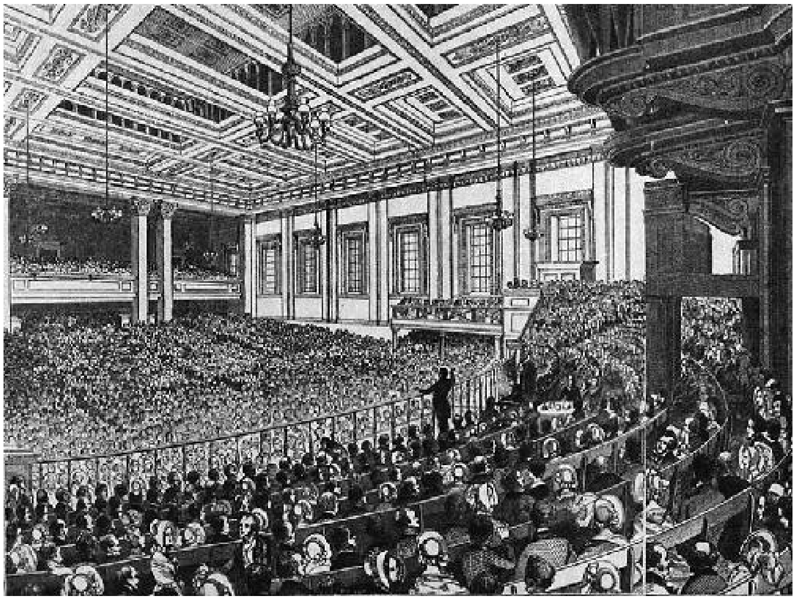
Free trade



While the Corn Laws protected British famers from foreign competition, they also limited supply and kept prices high, forcing working people to spend a substantial amount of their income on staples. Huge rallies were held as part of the campaign for abolition.

Free trade happens when countries open up their markets to foreign goods through the removal of tariffs and quotas on imports or the repeal of laws and regulations that hinder trade. Most economists welcome free trade, since it brings the expansion of markets and competition.

An early step towards free trade was taken by Britain in 1846 when it abolished the ‘Corn Laws’ protecting British farmers from foreign competition. Since then, free trade has waxed and waned, retreating between the wars, advancing again in the latter part of the 20th century. Sometimes free trade is served through bilateral agreements between countries, sometimes through multilateral treaties such as those of the World Trade Organization. Some economists question the consensus that free trade is always a good thing, pointing out that it can hurt some groups of workers, and that countries at early stages of development might need some protection from foreign competition to expand their industries.